29-1a The Functions of Money

Money has three functions: It is a *medium of exchange*, a *unit of account*, and a *store of value*. These three functions together distinguish money from other assets, such as stocks, bonds, real estate, art, and even baseball cards. Let's examine each of these functions of money.

A **medium of exchange** (an item that buyers give to sellers when they want to purchase goods and services) is an item that buyers give to sellers when they purchase goods and services. When you go to a store to buy a shirt, the store gives you the shirt and you give the store your money. This transfer of money from buyer to seller allows the transaction to take place. When you walk into a store, you are confident that the store will accept your money for the items it is selling because money is the commonly accepted medium of exchange.

A **unit of account** (the yardstick people use to post prices and record debts) is the yardstick people use to post prices and record debts. When you go shopping, you might observe that a shirt costs $50 and a hamburger costs $5. Even though it would be accurate to say that a shirt costs 10 hamburgers and a hamburger costs $1/10$ of a shirt, prices are never quoted in this way. Similarly, if you take out a loan from a bank, the size of your future loan repayments will be measured in dollars, not in a quantity of goods and services. When we want to measure and record economic value, we use money as the unit of account.

A **store of value** (an item that people can use to transfer purchasing power from the present to the future) is an item that people can use to transfer purchasing power from the present to the future. When a seller accepts money today in exchange for a good or service, that seller can hold the money and become a buyer of another good or service at another time. Money is not the only store of value in the economy: A person can also transfer purchasing power from the present to the future by holding nonmonetary assets such as stocks and bonds. The term *wealth* is used to refer to the total of all stores of value, including both money and nonmonetary assets.

Economists use the term **liquidity** (the ease with which an asset can be converted into the economy's medium of exchange) to describe the ease with which an asset can be converted into the economy's medium of exchange. Because money is the economy's medium of exchange, it is the most liquid asset available. Other assets vary widely in their liquidity. Most stocks and bonds can be sold easily with low cost, so they are relatively liquid assets. By contrast, selling a house, a

Rembrandt painting, or a 1948 Joe DiMaggio baseball card requires more time and effort, so these assets are less liquid.

When people decide how to allocate their wealth, they have to balance the liquidity of each possible asset against the asset's usefulness as a store of value. Money is the most liquid asset, but it is far from perfect as a store of value. When prices rise, the value of money falls. In other words, when goods and services become more expensive, each dollar in your wallet can buy less. This link between the price level and the value of money is key to understanding how money affects the economy, a topic we start to explore in the next chapter.

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Printed By: Mike Benton (mbento6@wgu.edu)